

Botswana Mine Disposal — Explained Simply

This is the “Fair Value — Botswana Mine” research document, put into easy language. Each heading is one Part of that document (A to H). The main bullet is the point; the → arrow explains it.

THE WHOLE STORY IN ONE MINUTE

- Diamante sold its Botswana mine.
- The mine was worthless — it owed more than it owned (it was “insolvent” by R405m).
- Getting rid of something that owed R405m actually makes you better off, so the accounts show a R405m “profit on disposal”.
- But NO cash came in. The buyer only pays R144m IF the mine ever makes spare cash one day, and Diamante valued that “maybe” promise at R0 (nil).
- The rest of the document argues whether that R0 and that R405m profit are really correct — and warns that next year (FY2027) the R0 can only go UP, creating an easy “profit” that could unfairly trigger management bonuses.

Part A — Why selling a mine made a “profit”

In plain English: You made a profit because you got rid of something that owed money.

- The mine was “technically insolvent”, meaning its debts were bigger than its assets by about R405m.
 - Think of giving away a car that still has R405k owing on the loan — walking away from that debt leaves you R405k better off.
- The accounting sum is: gain = what you received (nil) minus the net assets you gave up (which was –R405m, a net liability).
 - Subtracting a negative number gives a positive, so nil – (–405) = +R405m profit.
- The mine was insolvent because its assets had already been written down to almost nothing, but its rehabilitation and closure duties (the legal cost to fix the land) were still large.
 - The evidence is that group provisions fell from R900m to R621m (a R279m drop) when the mine left the balance sheet — exactly what you would expect if a big closure provision walked out with the mine.

Part B — The basic disposal accounting (Steps 1–3)

In plain English: Confirm it is a “discontinued operation”, then take the mine off the books.

- Step 1 — Is it a discontinued operation? Yes.
 - Botswana is a whole separate geographical area and a separate mine with its own results, and the board deliberately chose to exit foreign mines — so it is shown separately from normal continuing results (IFRS 5.32).
- Step 2 — Should it have been “held for sale” first?
 - If it was clearly up for sale before year-end, it should have been flagged as held for sale, stopped being depreciated, and measured at the lower of its value and its sale price — the exact date this happened is a question for the auditors.
- Step 3 — Remove it from the books when control is lost (IFRS 10.B98).
 - You take out all the mine’s assets and liabilities, bring in whatever you are paid (here nil), and the difference is the gain — that difference is the R405m.

Part C — Valuing what Diamante will be paid (the R144m promise)

In plain English: The buyer’s promise is a “maybe” payment, so it is valued at fair value and any change hits profit.

- The buyer agreed R144m, but only pays it out of the mine’s future spare cash, so it is a “maybe” payment (contingent consideration), not a guaranteed debt.
 - The amount Diamante actually gets depends entirely on how the mine performs in future.
- Because the payment moves up and down with the mine’s performance, it is treated as “fair value through profit or loss” (FVTPL), and Diamante set that fair value at nil (R0) today.
 - It is a financial asset that fails the “SPPI” test (the cash flows are not just simple principal and interest), which is why it must be at FVTPL rather than at amortised cost.
- Three effects of putting it at FVTPL:
 - There is no bad-debt (expected credit loss) model — all the uncertainty is captured inside the fair value instead.
 - There is no interest income building up over time, unlike a normal fixed receivable.
 - Every future change in its value goes straight to profit or loss.

Part D — How you value a “maybe” payment (IFRS 13 Level 3)

In plain English: There is no market price for this, so Diamante estimates it — and estimating nil is surprisingly hard to defend.

- There is no market price for “a share of one Botswana mine’s future cash”, so this is a Level 3 valuation (based on the company’s own unobservable estimates).

- The valuation uses the “expected present value” method: list the possible futures (strong recovery, partial recovery, survives-but-never-pays, closes), give each a probability and a timing, and discount them back to today.
- The hard part is that the mine can only pay once it is legally solvent again.
 - So you must estimate not just when the mine makes cash, but when it has climbed out of its hole and can lawfully pay — which is a much later date.
- Six estimates drive the answer: the probability it ever pays (the big one), production and stone quality, long-term diamond prices, running costs, timing, and the discount rate.
 - The long-term diamond price must match the price Diamante used in the Mine 1 and Mine 2 impairment tests — you cannot be pessimistic here and optimistic there.
- Why valuing it at nil is actually HARDER to defend than a positive number:
 - Nil says there is almost no chance the mine ever pays, yet the buyer agreed to pay R144m for it.
 - Option theory says even a long-shot (a deeply “out-of-the-money” option) still has some value.
 - Diamante itself calls the diamond market “ripe for recovery”, which contradicts a nil value, and there is no market price to check nil against.
- In fairness to management, nil is the CONSERVATIVE choice, because it made the gain smaller, not bigger.
 - So on this one point management was cautious, not aggressive — say this first, before you challenge it, because it makes your answer look balanced.

Part E — Where an auditor pushes back (the 5 challenges)

In plain English: Five places to challenge the numbers — the rehabilitation provision is the strongest.

- The journal has no cash line, because no cash actually changed hands.
- Challenge 1 — Is nil really the fair value? Understating an asset breaks IFRS just as much as overstating one, so nil is a claim that still needs evidence.
- Challenge 2 (the strongest) — Can they really remove the rehabilitation provision?
 - A provision can only be cancelled when the duty is truly gone (IAS 37.59), and mines rarely escape their clean-up duties, so ask about residual legal liability, parent guarantees, trust funds and indemnities — if any duty remains, the R405m gain is too big.
- Challenge 3 — Where is the foreign currency translation reserve (FCTR)?
 - When you sell a foreign operation you must move the built-up currency reserve into profit (IAS 21.48), but Diamante’s reserves went UP by R18m, which is odd — either the FCTR was small or they forgot to recycle it, which would change the gain.
- Challenge 4 — Intragroup loans cancel out within the group, so they cannot form part of the R405m — the make-up of the R405m must be proven, not just asserted.
- Challenge 5 — Substance over form.
 - Diamante genuinely lost control, so removing the mine is correct, but it still has a stake through the R144m promise, and that continuing link must be disclosed — the real substance is that Diamante paid nothing to hand over R405m of obligations, which is good, but calling it “profit” flatters the income statement.

Part F — How it is shown, and tax

In plain English: Show it as one line, and remember the “profit” brought in no cash.

- Income statement (IFRS 5.33): show all discontinued operations as ONE post-tax line, with a note breaking it down, and restate last year (FY2025) the same way.
- Cash flow (IAS 7): the R405m profit brought in NO cash — in fact cash left with the mine, so the “profit” is not backed by any cash.
 - This is the key point to make — a big profit that produced a cash outflow.
- Tax: a R405m accounting profit with probably no taxable gain creates a mismatch that must be explained in the tax reconciliation (IAS 12.81(c)).
 - The disposal is capital in nature, and a “participation exemption” may make the gain tax-free if Diamante held at least 10% of the shares for at least 18 months.

Part G — The important warning about next year (FY2027)

In plain English: Because the promise is parked at nil, it can only go up — creating an easy future “profit” that could trigger bonuses.

- Because the R144m promise is carried at nil, it can only go UP: there is no downside (it cannot go below zero) and all upside.
- Any good news — prices recover, supply tightens, the buyer recapitalises the mine, or forecasts appear — creates a fair-value GAIN in FY2027 profit.
- FY2027 is exactly when the new bonus scheme starts measuring “net profit growth of at least 5%”.
 - KPI 2 has NO carve-out for one-off items (KPI 1 does), so this cash-free gain on an already-sold business would still count toward bonuses.
- And “5% growth” measured off a R1,044m LOSS is mathematically meaningless — you cannot grow a loss by 5%.
 - This is a genuine design flaw to raise with the remuneration committee chair, Lavashni Govender, who has asked for confirmation that her understanding is correct.

- Four FY2027 “profit levers” were all created by FY2026 choices: the Botswana uplift, the impairment reversal, lower depreciation, and an inventory write-back.
- Each is fine on its own, but together they form a pattern that a professional accountant should notice and flag.
- Disclosure trap: a Level 3 note showing nil last year and R60m this year forces management to explain what changed — if nothing really changed, the FY2026 nil valuation was simply wrong.

Part H — What you should actually do

In plain English: Fix the nil now, get the buyer’s evidence, and fix the bonus KPI.

- Recommend revisiting the nil valuation now, while the financial statements are still in draft (correcting a measurement now beats explaining a big uplift a year later).
- Obtain the buyer’s business plan and forecasts, because a state-owned buyer paying R144m is the most direct evidence of expected value.
- Run an option-based cross-check on the nil, because a long-dated option on a volatile asset has some value.
- Reconcile the diamond price assumption to the one used in the Mine 1 and Mine 2 impairment tests.
- Recommend fixing KPI 2 by adding a one-off carve-out (like KPI 1) and replacing “% growth off a loss” with a sensible absolute target.
- Escalate to the audit and remuneration committees, especially as Lavashni has asked for confirmation of the scheme’s terms.

Mini-glossary — the scary words made simple

Term	What it means (simple)
Technically insolvent	The mine owed more than it owned — its liabilities were bigger than its assets.
Discontinued operation	A whole separate part of the business (here, a foreign mine) that has been sold, shown on its own line so users can see continuing results clearly.
Loss of control (IFRS 10)	When you sell a subsidiary, you stop controlling it, so you remove all its assets and liabilities from the group accounts.
Contingent consideration	A “maybe” payment — the R144m is only paid if the mine makes future spare cash, so it is uncertain.
FVTPL	Fair value through profit or loss — the asset is carried at its current fair value, and every change goes straight to profit or loss.
SPPI test	A test asking whether cash flows are just simple principal and interest; the R144m fails it because it varies with the mine, so it cannot sit at amortised cost.
Level 3 fair value (IFRS 13)	A value based on the company’s own estimates because there is no market price to observe.
Expected present value	Value the asset by listing possible futures, weighting each by probability, and discounting them to today’s value.
Provision (IAS 37)	A liability for a duty you already have — here the legal cost to rehabilitate and close the mine.
Recycling the FCTR (IAS 21.48)	When you sell a foreign operation, the built-up currency reserve must be moved into profit or loss.
Participation exemption	A tax rule that can make the gain on selling a foreign shareholding tax-free if you held at least 10% for at least 18 months.
Impairment reversal / NRV write-back	If values recover, earlier write-downs can be partly reversed, which increases future profit.

One line to remember: Diamante paid nothing to hand over a R405m debt (genuinely good), but the accounts call it a R405m “profit” that brought in no cash — and the leftover “maybe” payment, parked at nil, can only grow into an easy profit next year.